

According to its FY22 annual report, changing lifestyles and food habits will continue to result in higher incidence of chronic diseases globally, driving growth for cardiovascular, anti-diabetic and other such segments. The company further affirms that oncology and immunology will continue to witness higher volume growth and will, therefore, require significant investments in developing new products. The medicine requirement is higher for an ageing population and this is expected to be another growth driver for the industry, the report mentions.

MEANWHILE, COVID-19 ISN'T history yet. Booster doses against Covid-19 are gaining prominence as new strains of the virus continue to emerge, but the off-take has not been encouraging for pharma companies. In particular, companies that appeared late on the Covid-19 vaccine map are struggling to generate revenue from their vaccines. The newest entrants in the government's national immunisation programme are Biological E. Limited's Corbevax, Zydus Cadila's ZyCoV-D and Gennova Biopharmaceuticals Limited's GEMCOVAC-19.

However, while the current consumer response to booster shots has been cold, there is sense in betting on long-term goals in the government programme. With booster shots turning out to be a yearly affair, Covid-19 vaccines may yet prove to be a growth driver in the coming years. "In terms of sales, Covid-19 vaccines have already outperformed their forerunners. Booster shots are anticipated to be more profitable than the initial doses since they will not be accompanied by the R&D expenses the companies spent to get the vaccines in the market in the first place," says Arvind Sharma, Partner at Shardul Amarchand Mangaldas & Co, who tracks the space. "Additionally, the Covid-19 shots are now being developed to

the skin)," says Sharma. According to CRISIL, acute and chronic therapies contribute almost equal share in terms of revenues for the domestic pharma industry. With OPDs (outpatient departments) and clinic patient footfalls recovering and inpatient departments (IPDs) operating at occupancy levels observed before the pandemic, volume growth this fiscal is expected to remain stable despite the high base of last year.

As per CRISIL, in FY22, there was significant increase in demand for acute therapy drugs due to increased Covid-19 cases in India. "Within acute, growth momentum in anti-viral, anti-infective and vitamin therapies will continue. Within chronic, large volumes will continue to be driven by cardiac, anti-diabetic and respiratory segments," says Aniket Dani, Director at CRISIL Research. "From a strategic viewpoint, Indian pharma players are exploring opportunistic investments to drive medium- and long-term growth by focusing on specialty drugs, diversifying export portfolio through geographical mix, and inorganic deals or alliances to bridge the gaps in their capabilities like R&D and product diversification."

The fundamental truth is highlighted by Vinay Bafna, analyst-Pharma & Healthcare at ICICI Securities: "Opportunities from Covid-19 were always deemed to be short-lived. So, it doesn't change the structural need for medicines which is arising

COMPANIES ARE FOCUSSING ON THE GROWTH OF NON-COVID-19 MEDICINES, AMID A RISE IN OTHER ILLNESSES

combat certain [other] viral strains, and patients may require it annually like the flu shot." Sharma adds that pharma companies have been developing repurposed inhalation products for Covid-19 after injectables and oral medicines.

Apart from Covid-19 boosters driving a certain level of annual income and profit, some other areas are also expected to gain traction. "Chronic illnesses that force patients to spend a consistent portion of their earnings on medication are likely to continue to rise. Companies are aiming to target their R&D efforts on distinct sectors such as injectables, biosimilars, specialty drugs as well as transdermals (drugs delivered through

from increasing chronic ailments due to lifestyle changes as well as early detection of diseases with increasing awareness of diagnostic testing."

It appears that we are almost back to normal in terms of medical and healthcare needs and priorities, with Covid-19 cures having been added to the mix over a tumultuous couple of years. **BT**

@neetu_csharma